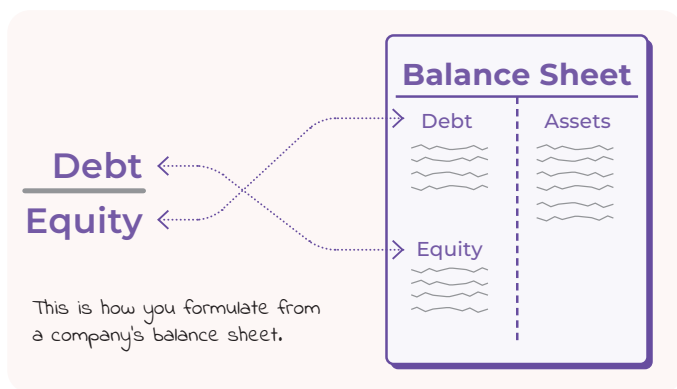


1 Debt to Equity

The debt to Equity ratio is used to evaluate a company's leverage. It is calculated by dividing a company's debts (liabilities) by shareholders' fund (equity). Debt includes both short-term as well as long-term debt.

Now when we look at the balance sheet of Apar industries we get:

Debt = Rs. 212 Cr. $(191 + 21)$ 
Equity = Rs. 1,409 Cr. (non-current liabilities + current liabilities)



Formula: $\text{Debt} / \text{Equity}$

$= 212 / 1409$

$= 0.13$

This figure indicates that the company's debt is 13% of the total equity. This helps us analyze that the company is in a strong position in terms of solvency, as it can easily repay its debts. It shows that the company is mainly funded by equity and not debt and as a result, the company can repay debt at any point, it has enough resources. This shows high solvency of the company.



We can directly access these ratios on the screener and other tools that we have seen in previous sections.